



Analysis of Union Budget 2026

Key Contributors

The International Finance Student Association (IFSA) is a global network of finance student associations around the world. Our mission is to empower our members and help them acquire the skills they need to have a successful finance career. We do this through a wide range of events, including conferences, workshops, and case competitions. But we're more than just a series of events – we're a community that's dedicated to networking, sharing knowledge, and building connections that can help you succeed in the finance industry.

We aspire to establish a robust and adaptable network that can positively impact many lives for years to come. With mentorship support, the organization seeks to provide members with practical business acumen and prioritizes a quest for excellence, both as individuals and as a group. We aim to revolutionize the perception of college clubs by creating a more inclusive, thoughtful, and learning-focused community.

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Executive Summary

Beyond annual **fiscal numbers**, the **Union Budget** represents a decisive **policy instrument** shaping **India's economic trajectory**. In a period marked by **global uncertainty**, **inflationary pressures**, and **structural transformation**, the Budget outlines how the government intends to balance **economic growth**, **fiscal discipline**, and **inclusive development**. Through **targeted expenditure**, **taxation reforms**, and **sector-specific interventions**, it seeks to strengthen **economic resilience** while addressing **emerging challenges**.

At the same time, this strategy carries **implementation risks**. **Uneven execution**, **fiscal constraints**, and **sectoral disparities** could dilute **policy outcomes** if not addressed effectively. The Budget therefore stands as both an **opportunity for long-term reform** and a **test of execution capacity**.

Pillars of Growth and Development

Sustaining Economic Growth

Ensuring stable and high growth through investment-led expansion and macroeconomic stability.

Strengthening Foundations of Growth

Building robust infrastructure, human capital, and productivity-enhancing institutions.

People-Centric Development

Focusing on inclusive growth by improving healthcare, education, and social security outcomes.

Trust-Based Governance

Enhancing transparency, digital governance, and ease of compliance to strengthen state-citizen trust.

Ease of Doing Business

Ensuring stable and high growth through investment-led expansion and macroeconomic stability.

Fiscal Matters

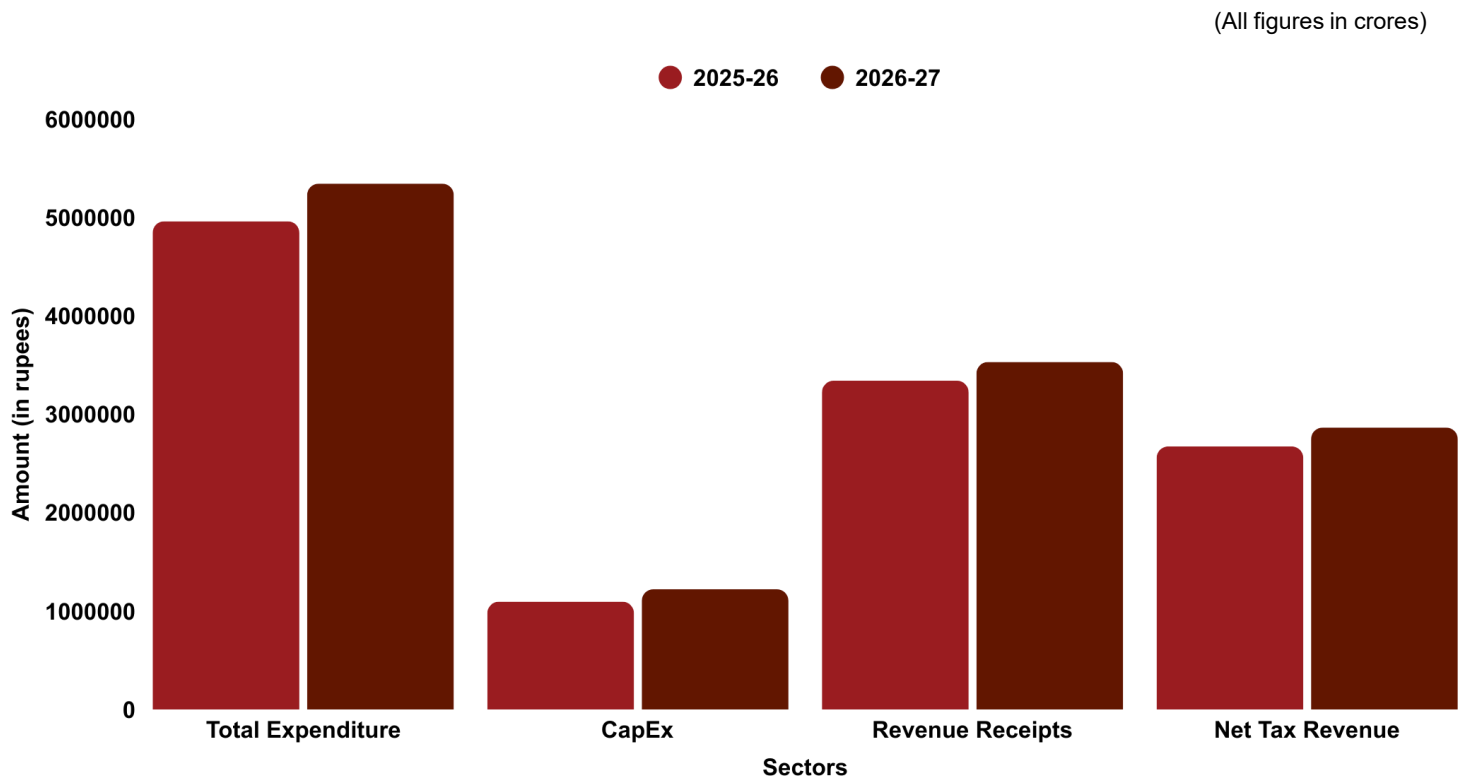
Building robust infrastructure, human capital, and productivity-enhancing institutions.

We aim to examine how the **Union Budget** translates **fiscal priorities** into **sectoral outcomes** and whether it can sustain **economic growth** while ensuring **equity** and **macroeconomic stability**. As **capital expenditure** rises and **structural reforms** deepen, the **effectiveness of implementation** will determine whether the Budget becomes a **catalyst for long-term economic transformation** or merely a **short-term fiscal exercise**. **Institutional capacity**, **Centre-State coordination**, and the ability to **crowd in private investment** remain critical. The real test lies in whether **budgetary allocations** convert into **tangible outcomes** such as **employment generation**, **productivity gains**, and **social welfare** across regions.

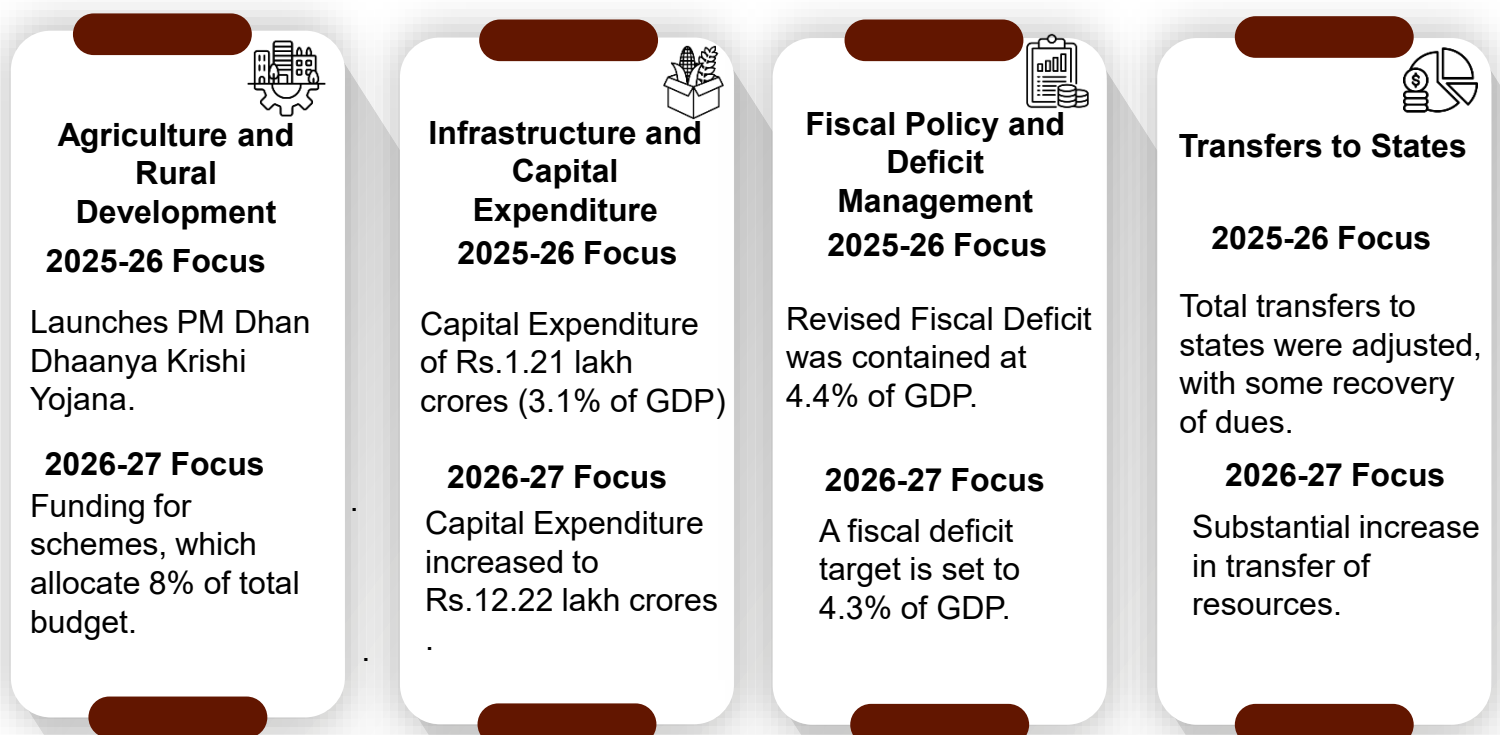
Can the Union Budget translate ambitious fiscal priorities into sustained, inclusive, and measurable economic outcomes on the ground?

Comparison with Budget 2025-26

Sector wise Comparisons



Sector wise Policy Comparisons



MSMEs as Growth Champions

3- PILLAR STRATEGY



Equity Support

- ₹10,000 Cr **SME Growth Fund** for future job-creating enterprises
- ₹2,000 Cr **top-up to Self-Reliant India Fund** for micro-enterprise risk capital
- Focus: **early growth, innovation & scale-up capital**



Liquidity Support

- **Mandatory TReDS** settlement for all CPSE
- **CGTMSE-backed credit guarantee** for discounting
- **GeM-TReDS integration** for faster & cheaper financing
- **Secondary market for receivables** via backed securities



Professional Support

- **‘Corporate Mitras’** developed by professional institutions
- Trained professionals for **compliance, filings & certifications**
- Affordable, local support for **micro enterprises**, especially in **Tier-II / Tier-III towns**

Industry Response



MSMEs Emerge as an Investable Asset Class

- Shift from debt-heavy support to **equity-led growth**
- Growth Fund improves **scale readiness & capital discipline**



Payment Discipline Becomes Structural

- TReDS viewed as a **system-level correction**
- Credit guarantees and receivable unlock liquidity
- Working capital flows to **deep supply-chain MSMEs**



Capital Market Confidence Strengthens

- Improved transparency and predictable cash flows
- Alignment with **foreign investor expectations**
- MSMEs seen as **bankable and investable**, not informal



MSMEs Positioned for the Next Growth Phase

- Budget signals **policy continuity and execution focus**
- Stronger foundations for formalisation and job creation
- MSMEs integrated into India's broader growth narrative

Scale Enablement

Turnover thresholds



Increased by 2 times

Investment thresholds



Increased by 2.5 times

Credit guarantee



Increased to 10 crore

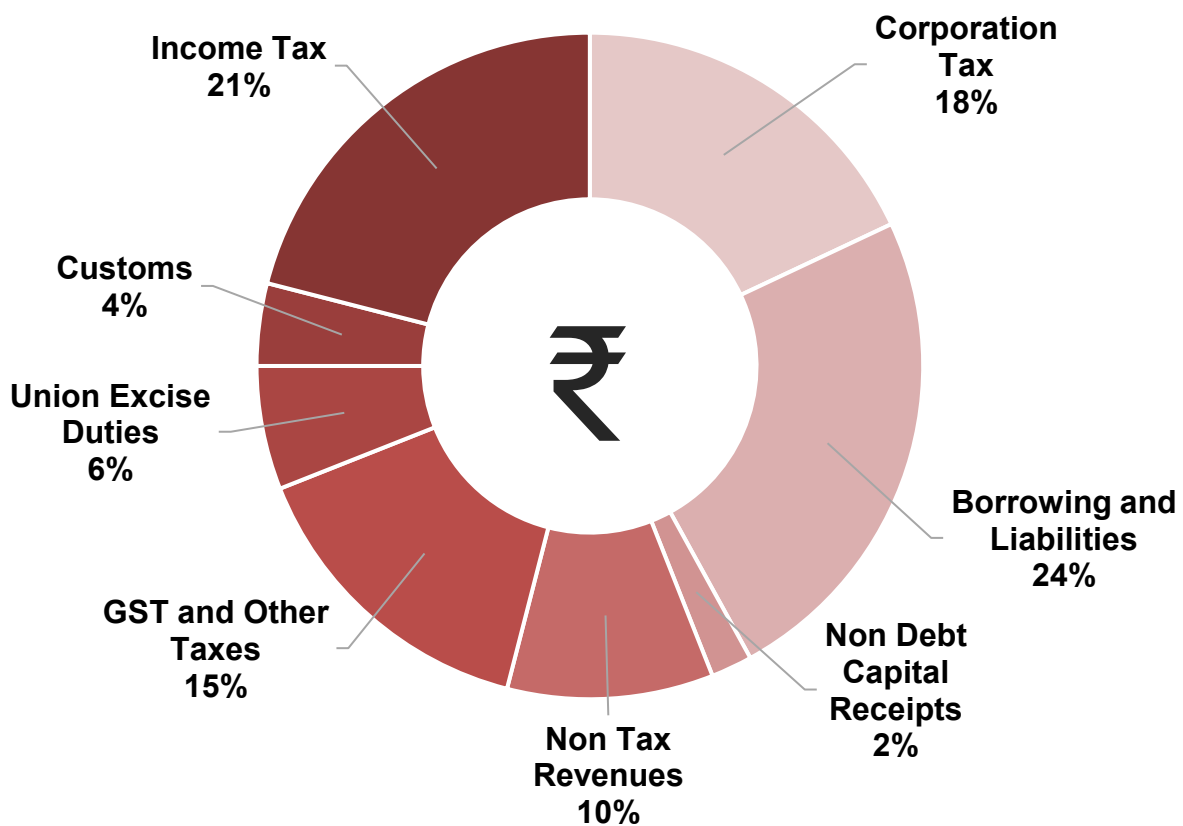
Marginal communities



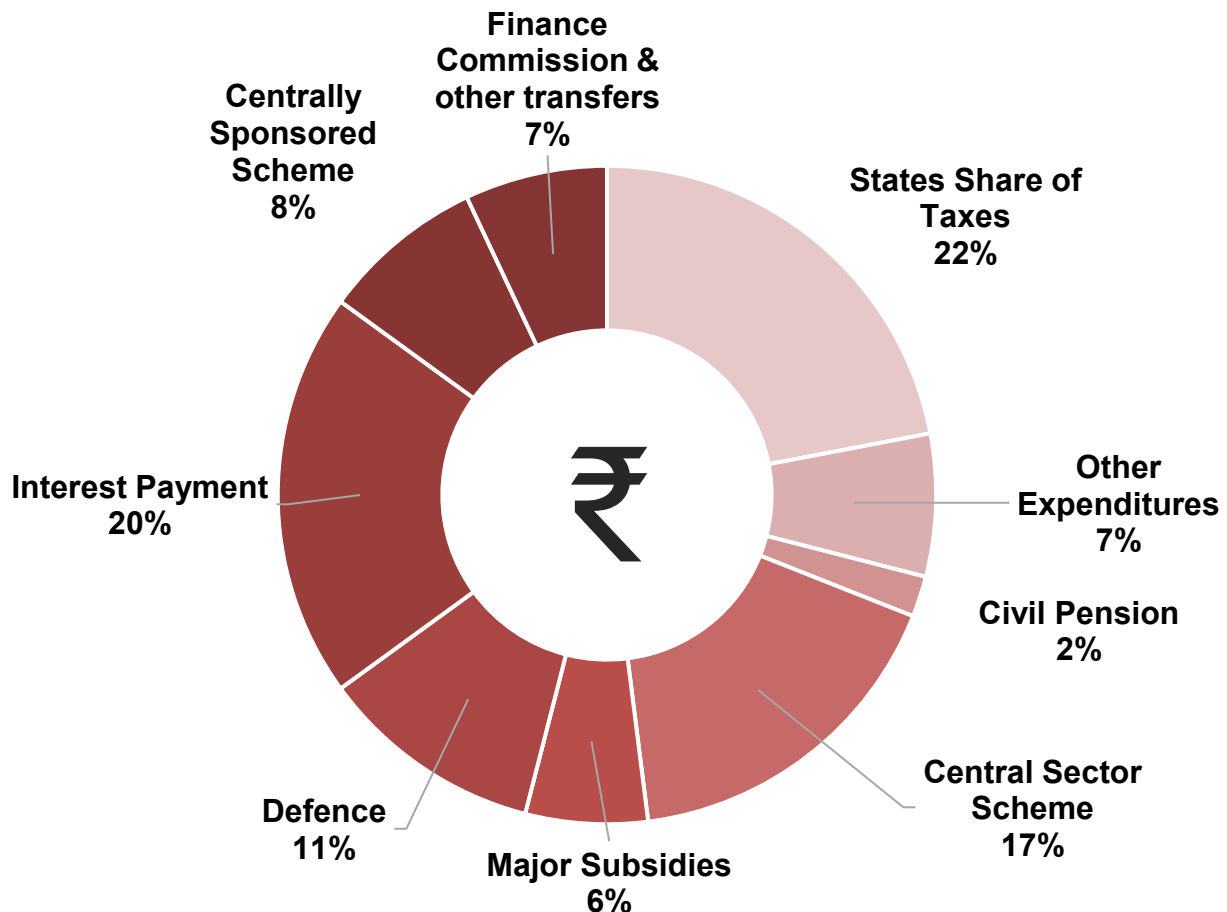
Term loans upto 2 crores

Ins and Outs

Rupee Comes From



Rupee Goes To



HealthCare Sector

A shift from treatment-led to ecosystem-led



₹1.04 lakh crore – MoHFW Budget Expenditure 2026–27

Total budget allocation for the Ministry of Health & Family Welfare for FY 2026–27.



1.5 lakh multiskilled caregivers (in 1-year NSQF-aligned)

One-year programme to train caregivers with standardized skills for medical assistance, mobility, and geriatric care.



1,00,000 Allied Health Professionals (over 5 years)

Targeted training of allied health staff across diagnostics, critical care, rehabilitation, and support services.



3 new All India Institutes of Ayurveda (AIIA)

Strengthens institutional capacity for evidence-based Ayurveda through advanced clinical care, research, and higher education.



5 Regional Medical Tourism & Wellness Hubs

Creation of regional hubs combining hospitals, AYUSH centers, diagnostics, and wellness services



Trauma & Emergency Care:

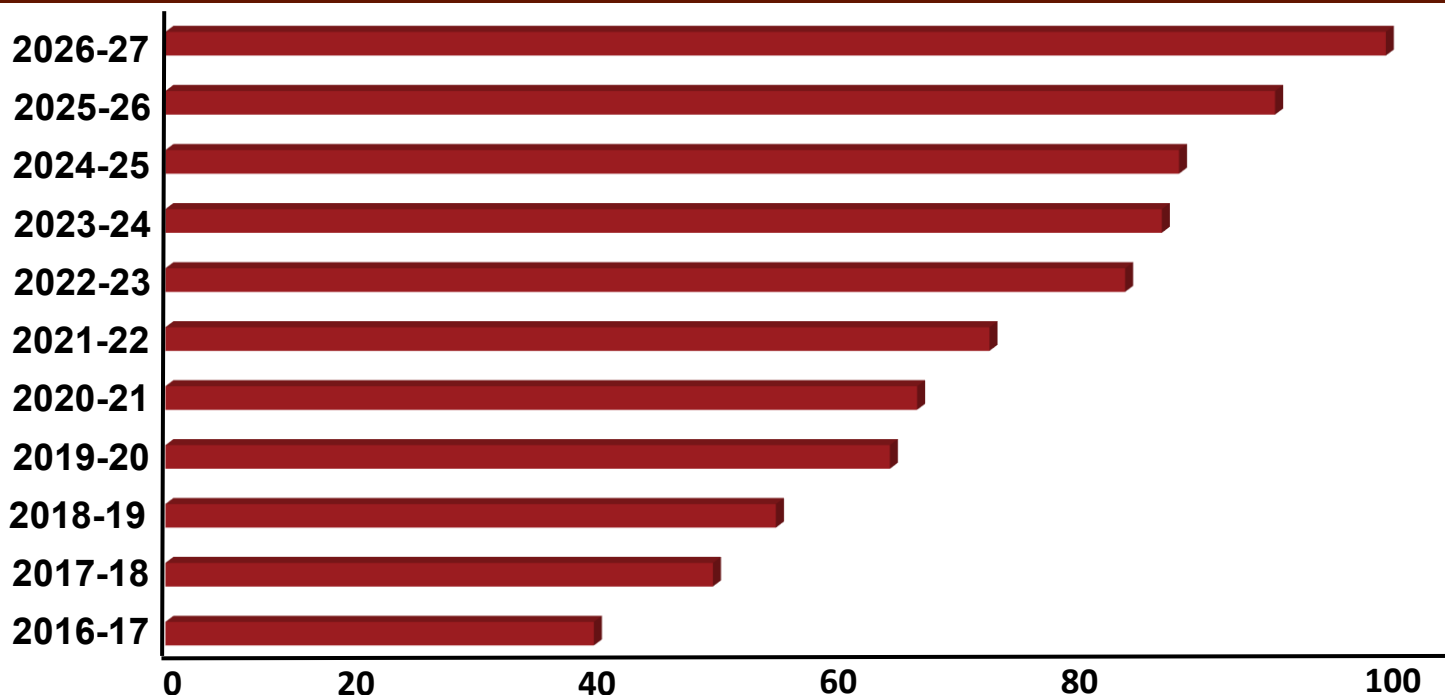
Expansion of trauma and emergency care services through **upgraded district hospitals, medical colleges, and highway-linked emergency response networks**. Strengthens golden hour response and reduces preventable mortality from accidents and critical injuries.

Cancer Drugs Support:

Customs duty reduced to NIL on select cancer and life-saving drugs (3 drugs) to improve affordability and patient access. Supports early and sustained treatment adherence by lowering out-of-pocket costs for patients.



Budget expenditure On Healthcare From 2016-2026 (Rs 100 Crs)



New Policies

Key New Policy Initiatives Announced in the Union Budget 2026–27



New Income Tax Act, 2025 – A completely new Income Tax legislation to take effect from **1 Apr 2026** for simpler compliance and modernized tax structure.



Biopharma SHAKTI – ₹10,000 crore over 5 years to develop India as a global biopharma manufacturing hub.



India Semiconductor Mission 2.0 – Expanded semiconductor mission with increased outlay to **₹40,000 crore** to strengthen the semiconductor ecosystem.



SHE-Marts (Self-Help Entrepreneur Marts) – New community retail outlets to enable rural women-led enterprises to own and operate market outlets.



Mega Textile Parks – Establishment of new mega textile parks focusing on value addition and technical textiles.



7 High-Speed Rail Corridors – Seven *new* bullet/rapid rail corridors announced to boost connectivity between major cities.

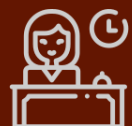


Incentive for Municipal Bond Issuance – ₹100 crore incentive for issuance of single bonds by municipal corporations with >₹1,000 crore size.



Bharat Vistar (Multilingual Agri AI Tool) – A comprehensive AI-driven agricultural assistance tool in multiple Indian languages.

One Girls' Hostel per District – A new initiative to build a girls' hostel in every district of India.



CCUS Technology Outlay – New ₹20,000 crore outlay for Carbon Capture, Utilization & Storage technologies over 5 years.

Tax Holiday till 2047 for Foreign Cloud Providers – New long-term tax holiday for foreign cloud services using Indian data centers.



Rural economy

Located under the third kartavya: Sabka Sath, Sabka Vikas, with a clear mandate to increase farmer incomes and rural opportunities, especially for small and marginal farmers.

Core levers: fisheries, animal husbandry, high-value crops, AI-based advisory, and rural women-led enterprises (SHE-Marts).

High Value Agriculture

Strategy

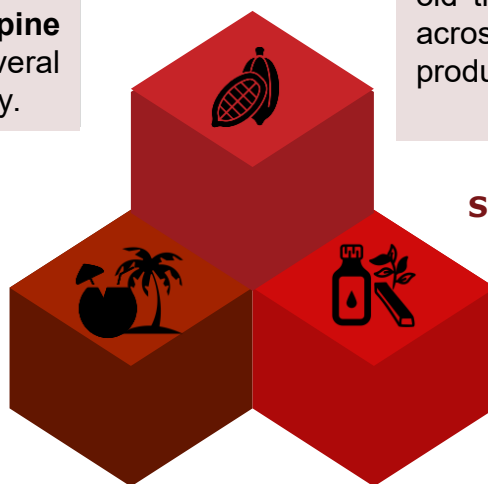
The Budget promotes high-value agriculture to **lift per-acre returns**, targeting coastal coconut, sandalwood, cocoa, cashew, **North-East agar**, and **hill almonds, walnuts, pine nuts**, together covering several million smallholders nationally.

Coconut Promotion Scheme

For coconuts, where **~30 million people and ~10 million farmers** depend on the crop, a **Coconut Promotion Scheme** will replant old trees with high-yield varieties across major states to raise productivity and farmer income.

Cashew & Cocoa Programme

A dedicated program for cashew and cocoa seeks self-reliance in raw material and processing, **and aims to position “Indian Cashew” and “Indian Cocoa” as premium brands** by 2030, unlocking higher export prices for growers.



Sandalwood Ecosystem Restoration

The Centre and States will **scale up sandalwood cultivation and processing**, targeting key producing belts so that **thousands of farmers can benefit** from this high-value, long-gestation crop as the ecosystem is restored.

Rural Women & Farmer Families



Building on Lakhpati Didi

Builds on Lakhpati Didi, which **targets ₹1 lakh annual income for 1 crore+ SHG women**. The Budget uses it to push them from simple livelihood towards higher, **market-linked earnings**.



From borrower to owner

Shifts SHG women from being small borrowers to **owners of micro-businesses** in areas like food processing or crafts. This helps them **retain a larger share** of value and build assets.



SHE-Marts structure

Community-owned outlets run by **cluster-level SHG federations**, **pooling products from many SHGs**. With larger, innovative financing, they can fund inventory, branding and local delivery.



Benefit to farmer families

SHE-Marts offer a **direct sales channel for grains**, processed foods and handicrafts. This reduces middlemen and **helps secure better prices** through local value addition and branding.

Agriculture

Digital Agriculture: Bharat-VISTAAR AI Platform



What is Bharat-VISTAAR

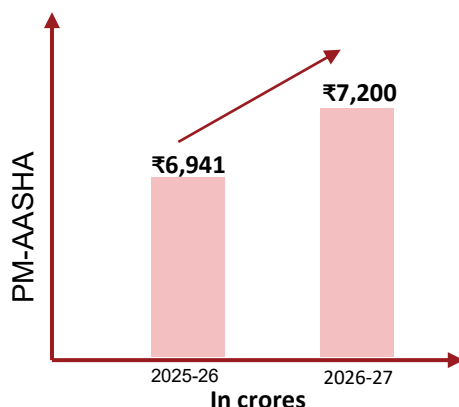
Full form: Bharat-VISTAAR – Virtually Integrated System to Access Agricultural Resources. A multilingual AI tool that will: Integrate **AgriStack** portals, Integrate ICAR packages of agricultural practices, Connect these with AI systems.



Objectives & Features

Enhance farm productivity through better, **data-driven advisories**.
Reduce risk by providing **customized advisory support** tailored to farmer's context.
Multilingual design to reach farmers across states and language groups.

Key quantitative highlights for Bharat-VISTAAR



Budgetary support:
Around **₹150 crore** in **2026-27** is allocated to launch **Bharat-VISTAAR** and its digital backbone.
Farmer base: **AgriStack** already covers about 12 crore farmers.

Rashtriya Krishi Vikas Yojana allocation:

₹8,550 crore

Krishionnnati Yojana

BE 2025-26: **₹8,000 crore**

BE 2026-27: **₹11,200 crore**

Indirect but Important Farmer/Rural

Additional veterinary professionals targeted: **> 20,000**

Share of livestock in farm income: **16%**

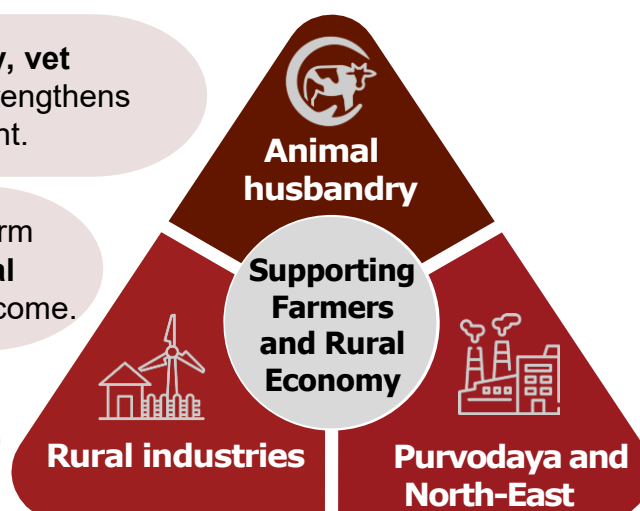


Green mobility: **4,000 e-buses** to be provided in Purvodaya States.

Expansion of **animal husbandry, vet colleges, hospitals** and labs strengthens productivity and rural employment.

Support for village industries creates off-farm work and **supplementary income for rural families**, reducing dependence on crop income.

Development of **Purvodaya States and North-East** boosts local demand and non-farm opportunities, supporting households indirectly.



Manufacturing on Fast track

India's Growth Engine

POLICY ENABLERS

Customs rules get simpler as duty structures are fixed
Export windows widen
Goods move factory-to-port faster through electronic clearance
Investors get certainty via tax holidays and trusted regimes

TECH MISSIONS

AI hits factory floors with ₹25 Cr capacity mission
Semiconductors get full-stack push under ₹40,000 Cr ISM 2.0
Supply chains deepen via ₹10,000 Cr 'Shakti' ecosystem

TECH MISSIONS

Batteries & solar get targeted incentives
Carbon reduction turns industrial with ₹20,000 Cr for CCUS, Quantum & R&D
Energy efficiency rises as green processes become investment-ready

SECTOR BOOSTS

Containers go Made-in-India with ₹10,000 Cr manufacturing push
Textiles scale up fast through Mega Parks in challenge mode
Aviation, batteries, solar gain edge with targeted incentives

Strategic Supply-Chain Anchors



Odisha, Kerala, Andhra Pradesh & Tamil Nadu identified to build end-to-end rare earth and magnet manufacturing



Dedicated chemical parks to anchor domestic production of critical industrial inputs at scale



From minerals to materials securing inputs vital for **EVs, semiconductors, defence and clean energy**

What changes on the ground?



Factories scale faster

Lower duties and simpler customs



Value shifts upstream

Manufacturing moves from assembly to IP



Exports become predictable

Longer export windows and clearance

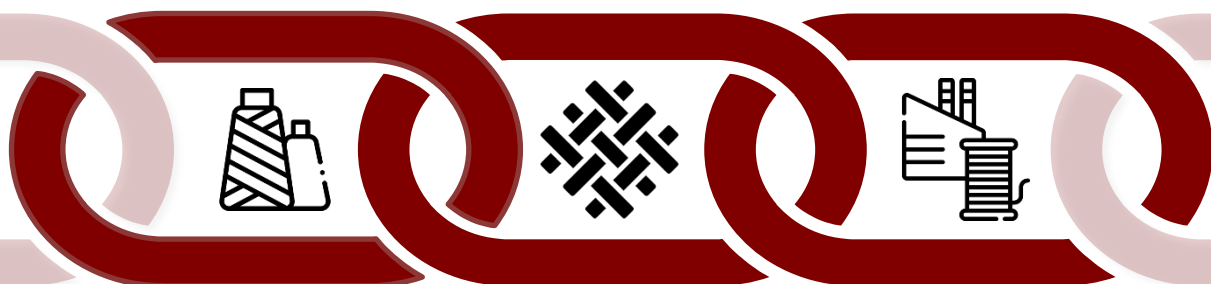


Supply chains turn resilient

Reduce import dependence

Textile Reforms

5 Pronged Approach



Agriculture and Rural development



National Handloom and Handicraft Programme



Textile Expansion and employment scheme



Text- ECON & SAMARTH 2.0



Mega Textile Parks & Mahatma Gandhi Gram Swaraj Initiative

Agriculture and Rural Development

This scheme will focus on achieving Self Reliance in Natural Fibres such as silk, wool and jute, along with new age fibres. This is a step to reduce import dependence and promote in house production.

Under this initiative, existing schemes will be integrated and empowered to provide concentrated support to weavers and artisans. This aims to safeguard and preserve traditional skills while helps in incrementing income.

National Handloom and Handicraft Programme

Textile Expansion and Employment Scheme

This aims to modernise traditional textile facilities through support for machinery, technology upgradation and creation of common testing and certification centres. This seeks to improve productivity and production standards.

These seek to help promote production of textiles and apparel which are of international competitiveness. They aim to modernise the textile skilling ecosystem through closer collaboration with industry and academic institutions.

Text- Econ & SAMARTH 2.0

Mega Textile Parks & Mahatma Gandhi Gram Swaraj

These initiatives aim to focus on value addition in technical textiles. The MGGS initiative seeks to improve global market linkages and branding and simplify training and skilling process.

Service Sector

Education to Employment and Enterprise

A High-Powered “**Education to Employment and Enterprise**” Standing Committee will be set up.



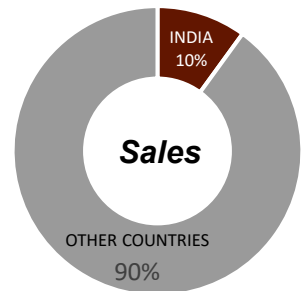
Goal :-

- Make India a global leader in services
- Achieve 10% global share in services by 2047



This Committee will study:

- Job creation potential
- Skill requirements
- Impact of AI and emerging technologies



Global share in services by 2047

Education Sector



University Townships

5 University Townships to be created near major industrial & logistics corridors. These will include **Universities, Colleges, Research institutes, Hostels and residential complexes, Skill centres**

5



Girls' Hostels

1 girls' hostel in every district for (In STEM institutions, long hours of study and laboratory work pose challenge for girls students) .This will be done **through VGF-viability gap Funding** or capital support



Astronomy & Science Education

4 major **telescope & planetarium** facilities to be upgraded:

National Large Solar Telescope, National Large Optical-Infrared Telescope, Himalayan Chandra Telescope & COSMOS-2 Planetarium

4



Design Education

There is a noticeable shortage of designers in India and so A new **National Institute of Design (NID)** in Eastern India to be set up

NID



AVGC

AVGC sector expected to need **2 million professionals by 2030**. AVGC Content Creator Labs to be set up: In **15,000 schools & In 500 colleges**

**2
MILLION**

Service Sector

Tourism Sector



National Institute of Hospitality

- National Council for Hotel Management upgraded into National Institute of Hospitality
- Acts as bridge between Industry, Academia and Government



Tourist Guides Training

Pilot scheme to train 10,000 guides at 20 iconic tourist sites & a 12-week hybrid training with IIM collaboration



Digital Tourism

National Destination Digital Knowledge Grid
Digital documentation of Cultural, Spiritual, Heritage sites,
New jobs for Researchers, Historians, Content creators, Tech partners

TOURISM SECTOR

Large role in employment generation, forex earnings and expanding the local economy

Eco Tourism Trails



- Mountain Trails (HP, Uttarakhand, J&K, Eastern & Western Ghats)
- Turtle Trails (Odisha, Karnataka, Kerala) & Bird Watching Trails (Pulicat Lake – AP & TN)

Buddhist Circuits (North East)



Scheme for Buddhist tourism in: Arunachal, Sikkim, Assam, Manipur, Mizoram, Tripura

Heritage Tourism



15 archaeological sites (Lothal, Dholavira, Sarnath, Hastinapur, Leh Palace etc.) to be developed as cultural destinations.
Use of Immersive storytelling, Interpretation centres, Guided walkways

Sports & AVGC Sector



Khelo India Mission

01

Focus areas- Talent development (foundation → elite level), Coach training, Sports science & technology, Sports leagues & competitions, Sports infrastructure



Sports Goods Manufacturing

02

Dedicated initiative to make India a global hub for sports good & Promote Manufacturing, R&D, Innovation in sports equipment & material science



ORANGE ECONOMY

AVGC- Gaming Comic sector is supported strongly. New jobs in- Animation, Gaming, Comics, VFX, Content creation

DIRECT TAX PROPSALS

PROPOSALS & TCS/TDS CHANGES



New Income tax Act, 2025:
to take effect from April 2026



Foreign company **cloud services** via Indian data centers:
Tax holiday till 2047



TCS on Education / Medical (LRS):
Reduced from 5% to 2%

TCS on Overseas Tour Packages:
Reduced to 2%



TDS on Manpower Services: Rate at 1% or 2% only

TDS on Immovable Property Sale: Via buyer's PAN, no TAN creation needed

RATIONALISING PENALTY & PROSECUTION & COMPLIANCES

Penalty & Prosecution

Update Returns Post-Reassessment:

Allowed with +10% tax over relevant year rate

Decriminalisation:

Non-production of books/documents & TDS payment in kind requirement

Under-reporting:

+100% additional income tax over tax & interest due

Immunity from Prosecution:

Non-disclosure of non-immovable foreign assets < 20 lakh rupees (retro from 1.10.2024)

One-time 6-month Foreign Asset Disclosure Scheme: For small taxpayers (students, young professionals, tech employees, NRIs, etc.)

Compliances & Deadlines

Automated lower / nil deduction certificate process for small taxpayers

Revise Returns Time Extended: Up to 31st March (with nominal fee) from 31st Dec

ICDS & IndAS Integration: Separate ICDS accounting done away with from tax year 2027-28

ITR-1&2

31st July

Unaudited PGBP

31st Aug

Audited Business

31st Oct

SAFE HARBOUR, MAT & FINANCIAL SECTOR

Safe Harbour & MAT Guidelines

Safe Harbour Amendments:

- **IT Services Threshold:** Enhanced from 300 Cr to 2,000 Cr rupees
- **IT Services Margin:** Single category with 15.5% common safe harbour margin
- **Non-resident Component Warehousing:** 2% profit margin of invoice value

MAT (Minimum Alternate Tax)

- **New Regime Set-off:** Brought forward MAT credit allowed only in new regime (up to 1/4th of tax liability)
- **Final Tax:** MAT to be final tax, no credit accumulation from 1st April 2026 With rates reduced to 14% from 15%

Financial Sector Updates



- **STT on Futures:** Raised to 0.05% from 0.02%
- **STT on Options:** Raised to 0.15% from 0.1% & 0.125%
- **Buyback Tax:** Taxed as Capital Gains for all shareholders
- **Promoter Buyback Tax:** Additional tax, effective tax 22% corporate /30% non-corporate

INDIRECT TAX PROPOSALS



VISION: Simplify Tariff Structures, Support Domestic Manufacturing, and Promote Export Competitiveness.



SECTORAL CUSTOMS DUTY EXEMPTIONS

CLEAN ENERGY & TECH



Lithium-Ion Cells: BCD exemption for capital goods used in manufacturing extended.

Solar Glass: BCD on sodium antimonate for solar glass exempted.

Nuclear Power: BCD exemption for goods required for Nuclear Power Projects extended till 2035.

AVIATION & DEFENSE



Aircraft Manufacturing: BCD exempted for parts / components for civilian & training aircraft.

MRO Services: Raw materials for aircraft parts in Defence sector MRO exempted.

HEALTHCARE & ELECTRONICS



Life-saving Drugs: BCD exempted for 17 drugs, targeting cancer treatment.

Microwaves: Specified parts for microwave oven manufacturing exempted.

CRITICAL MINERALS & FUELS



Processing: BCD exempted for capital goods to process critical minerals.

Biogas: Value excluded from Central Excise duty calculation on biogas-blended CNC.

BOOSTING EXPORTS & MSMEs

MARINE & TEXTILES



Duty-free import limit for seafood processing inputs increased from 1% to 3% of FOB value.

COURIER EXPORTS



Complete removal of 2 lakh value cap per consignment for small businesses.

FISHERIES



Fish caught in EEZ is duty-free: landing at foreign ports treated as an export.

SEZ UNITS



One-time measure for SEZ sales to DTA at concessional rates.

EASE OF DOING BUSINESS & CUSTOMS PROCESSES

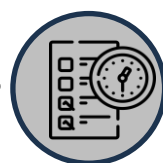


DIGITAL INTEGRATION

Single interconnected digital window for cargo clearance by end of financial year.



AUTHORISED ECONOMIC OPERATORS (AEO)
Duty deferral for Tier 2 & 3 AEOs doubled from 15 to 30 days.



ADVANCE RULINGS
Validity period for Customs advance rulings extended from 3 to 5 years.



PERSONAL IMPORTS
Tariff rate for all dutiable goods imported for personal use slashed from 20% to 10%.

Customs

Rationalisation of Custom Duties

Marine, Leather & Textile Products

Duty-free import limit for seafood export inputs raised from **1% to 3% of FOB**, and extended to **leather & synthetic footwear exports**

Critical Minerals & Biogas

Duty-free capital goods for processing **critical minerals** and exclusion of **biogas value** from excise on biogas-blended CNG

Civil & Defence Aviation

Duty exemption on aircraft components and raw materials for **civil aviation and defence MRO activities**

Energy Sector

Customs duty exemption extended for **Lithium-ion cell manufacturing capital goods** used in solar glass

Sector Allocations

Special Economic Zones (SEZs)

One-time concessional duty allowed for SEZ manufacturing units selling goods to the **Domestic Tariff Area (DTA)**

Nuclear Power & Microwave Manufacturing

Duty exemption for **nuclear power project goods** extended till **2035**, along with exemptions on **oven components**

Personal Imports & Medicines

Tariff cut on personal imports from **20% to 10%**, and **duty exemption** for **17 drugs**, with **7 additional rare diseases** covered for personal imports

KEY EXEMPTIONS

BCD exemptions cover **129 essential medicines, EV/semiconductor/nuclear/solar capital goods, critical minerals, lithium battery scrap, and aviation & defence parts**, with **nuclear projects extended till 2035**. **Seafood export inputs** are duty-free up to **3% of FOB**.

Duty Structure Reforms

Tariff slabs are rationalised (from **7+ rates**), with **long-standing exemptions withdrawn** for domestically produced or low-import goods. **Effective rates** are merged into **tariff schedules** to ease compliance, while **personal import duty** is reduced from **20% to 10%**.

Export & Sector Boosts

AEO importers receive a **30-day customs duty deferral**, easing **cash-flow pressures** and improving **working capital**. **Handicraft exporters** are granted a **one-year extension**, ensuring **policy stability**. These measures promote **Ease of Doing Business** by **reducing costs**.

NRI Investment & Tax Reset

Liberalization and Compliance Ease

OBJECTIVES:

The **Budget 2026** aims to Deepen **Capital Markets** by Transitioning NRIs from "Passive Remitters" to "Equity Stakeholders" in Indian corporations. It aims to **De-clutter Administration processes** by removing legacy bureaucratic hurdles (like TAN) that discouraged small-to-medium NRI investments. It also **Encourages Compliance** by Providing a "safe passage" for relocated NRIs and students to regularize their global financial disclosures.

Some Key Incentives for NRIs:



Direct Equity Investment Expansion : The individual investment limit for PROIs in listed Indian companies under the Portfolio Investment Scheme (PIS) is doubled from **5% to 10%**.



Aggregate Holding Limit: The total aggregate limit for all PROIs in a single listed company is raised from **10% to 24%**.



Income Tax Exemption for Experts: A 5-year income tax exemption is proposed for non-resident experts providing specific goods or tooling to toll manufacturers in bonded zones.



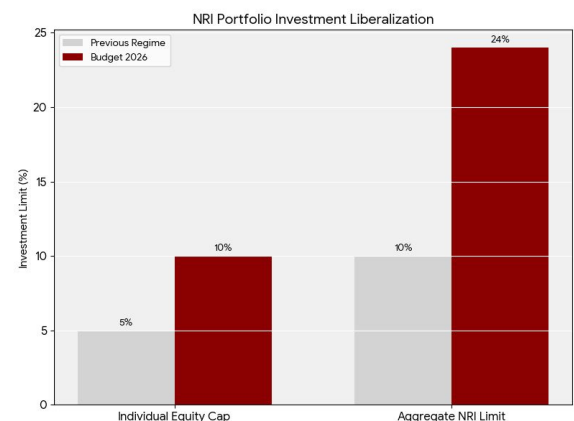
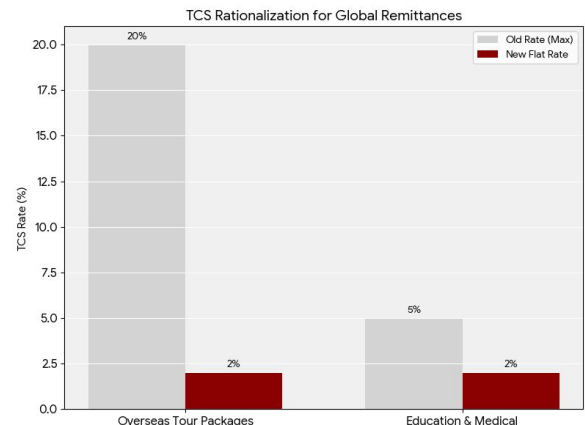
Foreign Asset Disclosure Scheme (FADS): A one-time 6-month amnesty scheme is introduced for small taxpayers, including relocated NRIs, to disclose foreign income/assets up to a certain size.



Reduced TCS on Remittances: Tax Collected at Source (TCS) on Liberalized Remittance Scheme (LRS) transfers for education and medical purposes is reduced from **5% to 2%**.



MAT Exemption: Exemption from Minimum Alternate Tax (MAT) for non-residents paying tax on a presumptive basis also, the **Aggregate Holding Limit** for all PROIs in a single listed company is raised from **10% to 24%**.



Budgetary Allocation & Policy Shifts:

Investment and Property Regulation Updates:



Equity Participation: Individual NRI investment cap in listed Indian companies **doubled to 10%** (from 5%); aggregate limit for all NRIs raised to **24%**.



Property Transaction Ease: TAN requirement **abolished** for NRIs selling property. Resident buyers can now use a simple **PAN-based challan** for TDS.

Tax, Compliance and Healthcare Landscape:



TCS Rationalization: * **Overseas Tour Packages**: TCS slashed to a flat **2%** (down from up to 20%).



Education and Medical : Remittances reduced from 5% to **2%**.



Safe Harbor: Turnover threshold for IT safe harbor benefits raised to **₹2,000 Crore**.

Implications and Expected Outcomes:



Stable Forex Inflows: Diversifying foreign capital beyond institutional FPIs, creating a more stable, long-term pool of "patient capital" from the diaspora.



Real Estate Liquidity: Simplifying the tax process will unlock billions in "stuck" capital in the secondary housing market.



Reduced Litigation: The **6-month Foreign Asset Disclosure Scheme** will bring thousands of accidental non-compliers into the formal net without penalties.

Conclusion

The **Union Budget 2026–27** presents a **growth-oriented roadmap** anchored in **high capital expenditure, infrastructure expansion, and manufacturing-led development**. With a strong push to **logistics, railways, and industrial corridors**, the Budget aims to **crowd in private investment** and strengthen **India's productive capacity**. Simultaneously, the commitment to **fiscal consolidation** reflects an effort to balance **ambition with macroeconomic stability**.

A key strength of the Budget lies in its focus on **structural transformation** across sectors such as **MSMEs, textiles, agriculture, and services**. **Targeted policy interventions, credit support, and skilling initiatives** seek to improve **productivity, formalisation, and employment generation**. These measures signal a shift from **short-term stimulus** to **long-term competitiveness and economic resilience**.

The Budget also advances **inclusive growth** through enhanced allocations for **healthcare, education, rural development, and women-led enterprises**. **Digital platforms, AI-driven governance, and simplified tax compliance** aim to improve **service delivery** and reduce **administrative frictions**. By integrating **technology with welfare and enterprise**, the Budget attempts to ensure **broader participation** in economic growth.

Overall, **Budget 2026–27** reflects a **calibrated approach** that blends **development priorities** with **fiscal prudence and reform-driven governance**. Its success will depend on **effective implementation, Centre–State coordination**, and the ability to translate **budgetary allocations** into **measurable outcomes**. If executed well, the Budget can act as a **catalyst for sustained, inclusive, and future-ready economic growth**.

Another notable aspect of **Budget 2026–27** is its effort to reposition **India in the global economic landscape**. Measures supporting **exports, easing customs procedures, and encouraging NRI and foreign investment** indicate a strategic intent to attract **stable, long-term capital**. By strengthening **global supply chains** and reducing **regulatory friction**, the Budget aims to enhance India's **investment credibility**.

In essence, the Budget moves beyond **short-term fiscal management** and lays the foundation for a **future-ready economy**. The convergence of **infrastructure investment, human capital development, and policy simplification** reflects a **holistic growth strategy**. If **policy intent** is matched with **timely execution and institutional accountability**, **Budget 2026–27** can play a pivotal role in sustaining **long-term economic momentum**.

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